

Sample Home Rental Agreement (Illustrative Example Only)

Important Notice:

This agreement is provided for **educational and illustrative purposes only**. It is not intended to serve as legal, tax, or accounting advice. State and local laws may vary, and readers should consult their own professional advisors before using or implementing any similar agreement.

HOME RENTAL AGREEMENT

(Business Use – Illustrative Sample)

This Home Rental Agreement (“Agreement”) is entered into as of **[Sample Date]**, by and between:

Homeowners:

Rick Smith and Paula Smith
(collectively, the “Owner”)

Corporation:

ABC Company Inc., an S-Corporation
(State of incorporation: **[Sample State]**)
(the “Corporation”)

1. Property

The Owner is the lawful owner of the residential property located at:

[Sample Street Address]

(the “Property”).

For purposes of this Agreement, the rented area includes portions of the residence reasonably suitable for business meetings, such as common living or meeting areas, and related access as necessary for the business use described below.

2. Purpose of Rental

The Property is being rented solely for **ordinary and necessary business purposes** of the Corporation, including but not limited to:

- Business meetings
- Strategic planning sessions
- Training or administrative activities

The Property shall not be used for personal, social, entertainment, or overnight lodging purposes during the rental period.

3. Rental Dates and Duration

The Corporation shall have the right to use the Property on the following date(s):

- **[Sample Date(s)]**

The total number of rental days contemplated under this Agreement **is intended not to exceed fourteen (14) days during the applicable calendar year**, consistent with Internal Revenue Code §280A(g). Actual days of use are determined based on facts and records maintained outside of this Agreement.

4. Rent and Payment Terms

The Corporation agrees to pay rent in the total amount of **[\$[Sample Amount – for illustrative purposes only]**, which the parties believe represents a **reasonable fair rental value** for comparable space and use in the local market.

- Payment shall be made by check or electronic transfer.
- Payment shall be made directly to the Owner.
- Rent shall be paid within **[Sample Timeframe]** of the rental date.

No portion of the rent shall be satisfied through bookkeeping or journal entries alone.

5. Use Restrictions

During the rental period:

- The Property shall be used exclusively for business purposes.
- No overnight accommodations are permitted.

- Use shall be limited to reasonable business hours.
 - The Corporation shall not host personal or non-business events.
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6. Responsibilities and Conditions

- The Owner shall remain responsible for utilities, property taxes, insurance, and general upkeep of the Property.
 - The Corporation shall leave the Property in substantially the same condition as received, ordinary wear and tear excepted.
 - Any excessive cleaning or damage directly attributable to the Corporation's use shall be the Corporation's responsibility.
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7. Compliance and Documentation

The parties acknowledge and agree that:

- This Agreement is intended to reflect an arm's-length rental arrangement.
 - The Corporation is responsible for maintaining appropriate documentation supporting business use, such as meeting agendas, minutes, attendee records, and proof of payment.
 - Nothing in this Agreement guarantees any particular tax treatment or outcome.
 - Each party is responsible for its own tax reporting and compliance and should consult its respective tax advisors.
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8. Term and Modification

This Agreement applies only to the rental dates listed above unless otherwise agreed in writing. Any modification to this Agreement must be made in writing and signed by both parties.

9. Governing Law

This Agreement shall be governed by the laws of the state in which the Property is located, without regard to conflict-of-law principles.

10. Signatures

By signing below, the parties acknowledge that this Agreement is entered into voluntarily and reflects their understanding as of the date signed.

Owner:

Rick Smith

Date: _____

Paula Smith

Date: _____

Corporation:

ABC Company Inc.

Authorized Officer

Title: _____

Date: _____